"Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all"

Thus as per the above definition, there are 5 elements which constitute of a partnership namely:

(i)There must be a contract; (ii) between two or more persons; (iii) who agree to carry on a business; (iv) with the object of sharing profits and (v) the business must be carried on by all or any of them acting for all.

A partnership firm can't have a savings account so we will be discussing about the paperwork required for opening a current account. Other than the common documents mentioned earlier, a copy of partnership deed signed by all the partners and the list of partners needs to be submitted. A PAN being the only identity proof is a must. As in case of sole proprietorship, a copy of trade license and address proof of the business establishment along with KYC documents of all the partners also need to be submitted. Further, its in the discretion of partners to decide if they want to operate the account jointly or severally. The partnership firm on its letterhead needs to issue an authorisation letter for the same. It's the best practice to authorise the banking operations jointly by at least two partners.

A partnership firm is usually formed when two parties, with the same business goal, hold solutions to two parts of the same problem

Company

Companies in India were earlier governed by Companies Act, 1956 which has been replaced by Companies Act, 2013. According to Professor Haney "A Company is an artificial person, created by law having a separate entity with a perpetual succession and a common seal."

Let us break the definition into parts:

- **Artificial person:** A company is an artificial person, which exists only in the eyes of law. The company carries business on its own behalf. It